
SM131 – Module #3 Sample Questions (questions with answers appear on the pages that follow...)

- (1) Please consider Milton Friedman's perspective on Social Responsibility. Which of the following best describes the mechanism through which that perspective suggests that businesses should contribute to society?
 - (a) by engaging in corporate philanthropy to address social issues.
 - (b) by adhering to executives' conceptions of business ethics
 - (c) by focusing on profit—generation while obeying all laws
 - (d) by focusing on stakeholder interests since firms only exist due to the consent of stakeholders
 - (e) by focusing on managers' goals, as a result of the firm's fiduciary duty to its managers
- (2) Which of the following best describes Freeman's and Porter and Kramer's perspectives regarding the role of profit in business?
 - (a) Freeman sees profit as irrelevant, while Porter and Kramer see it as central.
 - (b) Freeman views profit as one of many goals, while Porter and Kramer emphasize profit as a means to societal progress.
 - (c) Freeman and Porter and Kramer both reject the importance of profit in corporate strategies.
 - (d) Freeman considers profit to be a necessary evil, while Porter and Kramer, like Milton Friedman, consider it to be the only legitimate pursuit for managers who own their own firms.
 - (e) Freeman and Porter and Kramer are all watching us with the eye, the eye of the tiger.
- (3) According to the "Note on Stakeholder Capitalism vs. Shareholder Capitalism," that we read for Week #11, which of the following is NOT a critique of *Shareholder Capitalism*?
 - (a) Shareholder capitalism may exacerbate income and wealth inequality
 - (b) Shareholder capitalism leads firms to ignore negative externalities
 - (c) Shareholder capitalism has the potential to erode ethical standards
 - (d) Shareholder capitalism may undermine democracy by concentrating economic power
 - (e) Shareholder capitalism may contribute to reduced productivity
- (4) According to the "Note on Stakeholder Capitalism vs. Shareholder Capitalism," that we read for Week #11, which of the following is NOT a critique of *Stakeholder Capitalism*?
 - (a) it has the potential to contribute to market power
 - (b) it runs the risk of managerial opportunism, i.e., of managers acting in their own interests
 - (c) it is not perfectly clear how to balance the competing interests of various stakeholders
 - (d) it has the potential to contribute to greenwashing
 - (e) it has the potential to undermine shareholder rights
- (5) Which of the following is most true according to the Week #11 reading, "The Dangerous Allure of Win-Win Strategies"?
 - (a) 'win-win' approaches are typically modest in their promises and deliver value consistent with those promises
 - (b) while most win-win approaches are unsuccessful, three examples of successful win-win approaches include the Negawatt revolution, the circular economy, and Base of the Pyramid principles
 - (c) Creating Shared Value would be an example of a win-win approach because it involves multiple Stakeholders winning, even if Shareholders lose
 - (d) 'win-win' approaches typically involve overly optimistic claims about combining profit and social and environmental good
- (6) According to our readings and lecture on business ethics in Week #12, which of the following is most true about ethical perspectives?
 - (a) the logic of the deontological perspective is based on the idea that there are no fundamental, universal moral laws that should drive people's ethical decisions
 - (b) the logic of the utilitarian perspective is consistent with the idea that ethical choices should be based on the effort to provide the 'greatest good for the greatest number'
 - (c) the logic of the virtue ethics perspective is that we should all do our duty, as prescribed by the deity in which we believe
 - (d) the logic of the social justice perspective is that ethical choices are dictated by the Golden Rule, "do as to others as you would have them do unto you"
 - (e) the logic of the deontological perspective and the virtue ethics perspective were both inspired by the philosopher Immanuel Kant

- (7) Which of the following best illustrates how SM131 suggests that think about whether businesses are operating as, “a force for good”?
- (a) SM131 asserts that as long as governments do not interfere in the functioning of markets, businesses will, indeed, operate as a force for good
 - (b) SM131 asserts that businesses cannot be a force for good if they tradeoff shareholder concerns for stakeholder concerns
 - (c) SM131 recommends addressing this question by considering whether firms create & capture value in ways that benefits stakeholders while not violating ethical perspectives?
 - (d) SM131 acknowledges that it is not possible to make progress on the question of whether business is a force for good because it is impossible to define any principles upon which this question could be evaluated
- (8) Which of the following best reflects Max Bazerman’s and Ann Tenbrunsel’s recommendations on how to prevent Ethical Breakdowns?
- (a) Bazerman and Tenbrunsel argue that it is not possible to avoid Ethical Breakdowns, so firms should invest in public relations and legal defense funds
 - (b) Bazerman and Tenbrunsel recommend designing better incentives
 - (c) Bazerman and Tenbrunsel recommend Greenwashing to overcome any Ethical Breakdowns
 - (d) Bazerman and Tenbrunsel recommend that firms embrace motivated blindness and indirect blindness
 - (e) Bazerman and Tenbrunsel recommend promoting managers who provide perfect solutions to principal-agent problems
- (9) According to the note on Corporate Governance that we read for Week #10, which of the following best describes corporate governance?
- (a) the system by which leaders enact strategies, allocate resources, and implement policies to maximize corporate performance and guarantee adherence to legal standards and regulations
 - (b) the framework that determines employee responsibilities, workflow organization, and collaboration in order to achieve organizational objectives
 - (c) the method through which company policies are communicated, internal feedback is gathered and improvements are identified to strengthen the firm’s performance
 - (d) the system through which firm authority is defined, information is shared and oversight is exercised to ensure decision-making in owners’ interests
 - (e) the structure under which financial budgets are assigned, monetary transactions are approved, and profits are measured, thus promoting corporate growth and ensuring prosperity for all stakeholders
- (10) Based on your understanding of the material in note on Corporate Governance that we read for Week #10, which of the following statements best describes the principal-agent (P-A) problem, as it applies to business organizations?
- (a) the P-A problem occurs when shareholders freely give decision-making powers to managers without monitoring operational costs, resulting in perfect alignment of both groups’ goals
 - (b) the P-A problem happens when employees take on excessive responsibilities beyond their job scope, causing everyone within the company to benefit equally from such actions.
 - (c) the P-A problem arises when managers have incentives to act in their own interests rather than the owners’ interests
 - (d) the P-A problem is most severe when profits are distributed equally among staff members and executives, thus creating high incentives for staff to work hard
 - (e) the P-A problem arises when managers prioritize shareholder interests above their own incentives
- (11) According to Ann Tenbrunsel’s and Max Bazerman’s writings on Ethical Breakdowns, which of the following best illustrates the concept of “motivated blindness”?
- (a) a company changing its performance targets to unrealistic levels, which unintentionally encourages employees to cut ethical corners to meet those goals.
 - (b) a firm overlooking unethical behavior by a business partner to benefit from the relationship, effectively ignoring wrongdoing when it serves its own interests.
 - (c) a company gradually accepting increasingly unethical practices, each slightly worse than the one before, until clearly unethical behavior is normalized

- (d) a company outsourcing production to a supplier and ignores signs that the supplier is exploiting workers, believing the supplier is responsible for ethical conduct

Sample Text Response questions

- (12) In Module #1 of SM131, we introduced two key frameworks, The Value Stick and The Industry Value Chain. Please consider only the firm, its shareholders, and its buyers and refer to those frameworks in answering the following questions:
- Please use these frameworks to explain Milton Friedman's perspective on social responsibility, considering only the firm, its shareholders, and its buyers.
 - Please use these frameworks to explain Ed Freeman's perspective on social responsibility, considering only the firm, its shareholders, and its buyers.
 - Please use these frameworks to explain Porter & Kramer's perspective on creating shared value, considering only the firm, its shareholders, and its buyers.
- (13) In the Carter Racing Case, we discussed the question of whether Carter Racing should or should not compete in a race. Please assume that the data in the case suggested that firm profits would likely be maximized by racing but that racing would also result in a high probability of driver injury.
- Please apply the logic of the **deontological perspective** on ethics to assess whether the firm should participate in the race.
 - Please apply the logic of the **utilitarian perspective** on ethics to assess whether the firm should participate in the race.
 - Please apply the logic of the **virtue ethics perspective** to assess whether the firm should participate in the race.
- (14) Imagine that QuestroTea (QT) was a tea stand owned and operated by a single person and that QuestroFoodCo (QFC) were a publicly traded, global food conglomerate. Please answer the questions about Corporate Governance that follow:
- Please explain what transparency, decision rights, and accountability are and how they affect Corporate Governance
 - Please note how transparency, decision rights, and accountability are likely to differ between QT and QFC.
 - Suppose that QFC had 11 members of its Board of Directors and that it just experienced scheduled turnover of Board members that increased its number of Independent Directors from 1 to 6. How might that affect the firm's Corporate Governance?

[Sample Questions continue on next page...]

SM131 – Module #3 Sample Questions & ANSWERS

- (1) Please consider Milton Friedman's perspective on Social Responsibility. Which of the following best describes the mechanism through which that perspective suggests that businesses should contribute to society?
- (a) by engaging in corporate philanthropy to address social issues.
 - (b) by adhering to executives' conceptions of business ethics
 - (c) by focusing on profit—generation while obeying all laws**
 - (d) by focusing on stakeholder interests since firms only exist due to the consent of stakeholders
 - (e) by focusing on managers' goals, as a result of the firm's fiduciary duty to its managers
- (2) Which of the following best describes Freeman's and Porter and Kramer's perspectives regarding the role of profit in business?
- (a) Freeman sees profit as irrelevant, while Porter and Kramer see it as central.
 - (b) Freeman views profit as one of many goals, while Porter and Kramer emphasize profit as a means to societal progress.**
 - (c) Freeman and Porter and Kramer both reject the importance of profit in corporate strategies.
 - (d) Freeman considers profit to be a necessary evil, while Porter and Kramer, like Milton Friedman, consider it to be the only legitimate pursuit for managers who own their own firms.
 - (e) Freeman and Porter and Kramer are all watching us with the eye, the eye of the tiger.
- (3) According to the "Note on Stakeholder Capitalism vs. Shareholder Capitalism," that we read for Week #11, which of the following is NOT a critique of **Shareholder Capitalism**?
- (a) Shareholder capitalism may exacerbate income and wealth inequality
 - (b) Shareholder capitalism leads firms to ignore negative externalities
 - (c) Shareholder capitalism has the potential to erode ethical standards
 - (d) Shareholder capitalism may undermine democracy by concentrating economic power
 - (e) Shareholder capitalism may contribute to reduced productivity**
- (4) According to the "Note on Stakeholder Capitalism vs. Shareholder Capitalism," that we read for Week #11, which of the following is NOT a critique of **Stakeholder Capitalism**?
- (a) it has the potential to contribute to market power**
 - (b) it runs the risk of managerial opportunism, i.e., of managers acting in their own interests
 - (c) it is not perfectly clear how to balance the competing interests of various stakeholders
 - (d) it has the potential to contribute to greenwashing
 - (e) it has the potential to undermine shareholder rights
- (5) Which of the following is **most true** according to the Week #11 reading, "The Dangerous Allure of Win-Win Strategies"?
- (a) 'win-win' approaches are typically modest in their promises and deliver value consistent with those promises
 - (b) while most win-win approaches are unsuccessful, three examples of successful win-win approaches include the Negawatt revolution, the circular economy, and Base of the Pyramid principles
 - (c) Creating Shared Value would be an example of a win-win approach because it involves multiple Stakeholders winning, even if Shareholders lose
 - (d) 'win-win' approaches typically involve overly optimistic claims about combining profit and social and environmental good**
- (6) According to our readings and lecture on business ethics in Week #12, which of the following is **most true** about ethical perspectives?
- (a) the logic of the deontological perspective is based on the idea that there are no fundamental, universal moral laws that should drive people's ethical decisions
 - (b) the logic of the utilitarian perspective is consistent with the idea that ethical choices should be based on the effort to provide the 'greatest good for the greatest number'**
 - (c) the logic of the virtue ethics perspective is that we should all do our duty, as prescribed by the deity in which we believe
 - (d) the logic of the social justice perspective is that ethical choices are dictated by the Golden Rule, "do as to others as you would have them do unto you"
 - (e) the logic of the deontological perspective and the virtue ethics perspective were both inspired by the philosopher Immanuel Kant

- (7) Which of the following best illustrates how SM131 suggests that think about whether businesses are operating as, “a force for good”?
- (a) SM131 asserts that as long as governments do not interfere in the functioning of markets, businesses will, indeed, operate as a force for good
 - (b) SM131 asserts that businesses cannot be a force for good if they tradeoff shareholder concerns for stakeholder concerns
 - (c) SM131 recommends addressing this question by considering whether firms create & capture value in ways that benefits stakeholders while not violating ethical perspectives?**
 - (d) SM131 acknowledges that it is not possible to make progress on the question of whether business is a force for good because it is impossible to define any principles upon which this question could be evaluated
- (8) Which of the following best reflects Max Bazerman’s and Ann Tenbrunsel’s recommendations on how to prevent Ethical Breakdowns?
- (a) Bazerman and Tenbrunsel argue that it is not possible to avoid Ethical Breakdowns, so firms should invest in public relations and legal defense funds
 - (b) Bazerman and Tenbrunsel recommend designing better incentives**
 - (c) Bazerman and Tenbrunsel recommend Greenwashing to overcome any Ethical Breakdowns
 - (d) Bazerman and Tenbrunsel recommend that firms embrace motivated blindness and indirect blindness
 - (e) Bazerman and Tenbrunsel recommend promoting managers who provide perfect solutions to principal-agent problems
- (9) According to the note on Corporate Governance that we read for Week #10, which of the following best describes corporate governance?
- (a) the system by which leaders enact strategies, allocate resources, and implement policies to maximize corporate performance and guarantee adherence to legal standards and regulations
 - (b) the framework that determines employee responsibilities, workflow organization, and collaboration in order to achieve organizational objectives
 - (c) the method through which company policies are communicated, internal feedback is gathered and improvements are identified to strengthen the firm’s performance
 - (d) the system through which firm authority is defined, information is shared and oversight is exercised to ensure decision-making in owners’ interests**
 - (e) the structure under which financial budgets are assigned, monetary transactions are approved, and profits are measured, thus promoting corporate growth and ensuring prosperity for all stakeholders
- (10) Based on your understanding of the material in note on Corporate Governance that we read for Week #10, which of the following statements best describes the principal-agent (P-A) problem, as it applies to business organizations?
- (a) the P-A problem occurs when shareholders freely give decision-making powers to managers without monitoring operational costs, resulting in perfect alignment of both groups’ goals
 - (b) the P-A problem happens when employees take on excessive responsibilities beyond their job scope, causing everyone within the company to benefit equally from such actions.
 - (c) the P-A problem arises when managers have incentives to act in their own interests rather than the owners’ interests**
 - (d) the P-A problem is most severe when profits are distributed equally among staff members and executives, thus creating high incentives for staff to work hard
 - (e) the P-A problem arises when managers prioritize shareholder interests above their own incentives
- (11) According to Ann Tenbrunsel’s and Max Bazerman’s writings on **Ethical Breakdowns**, which of the following best illustrates the concept of “motivated blindness”?
- (a) a company changing its performance targets to unrealistic levels, which unintentionally encourages employees to cut ethical corners to meet those goals**
 - (b) a firm overlooking unethical behavior by a business partner to benefit from the relationship, effectively ignoring wrongdoing when it serves its own interests
 - (c) a company gradually accepting increasingly unethical practices, each slightly worse than the one before, until clearly unethical behavior is normalized
 - (d) a company outsourcing production to a supplier and ignores signs that the supplier is exploiting workers, believing the supplier is responsible for ethical conduct

Sample Open Response questions

(12) Imagine that QuestroTea (QT) was a tea stand owned and operated by a single person and that QuestroFoodCo (QFC) were a publicly-traded, global food conglomerate. Please answer the questions below about Corporate Governance:

- Please explain the roles of transparency, decision rights, and accountability in Corporate Governance
 - **ANSWER:** Transparency = providing timely, accurate information re firm performance to shareholders and stakeholders; decision rights = who gets to make which decisions; accountability = ensuring that decision-makers face consequences for outcomes of their choices.
- Please note how transparency, decision rights, and accountability are likely to differ between QT and QFC.
 - **ANSWER:** Transparency: BT = perfect transparency b/c of owner-operator; QFC = formal interactions with Board via reports, metrics, and updates; decision rights = owner-operator has all rights; QFC = management does day-to-day, board does strategic oversight & management of top team
- Suppose that QFC had 11 members of its Board of Directors and that it just experienced scheduled turnover of Board members that increased its number of Independent Directors from 1 to 6. How might that affect the firm's Corporate Governance?
 - **ANSWER:** this would increase unbiased oversight and decision-making, fostering trust and promoting long-term firm success

(13) In Module #1 of SM131, we introduced two key frameworks, The Value Stick and The Industry Value Chain. Please consider only the firm, its shareholders, and its buyers and refer to those frameworks in answering the following questions:

- Please use these frameworks to explain Milton Friedman's perspective on social responsibility, considering only the firm, its shareholders, and its buyers.
 - **ANSWER:** MF: CSR = profits; max firm value capture, P-C, for its shareholders; ignore value capture for Buyers (WTP-P)
- Please use these frameworks to explain Ed Freeman's perspective on social responsibility, considering only the firm, its shareholders, and its buyers.
 - **ANSWER:** EF: care about shareholders + stakeholders; firm value capture matters (P-C), but also care about value capture by Buyers (WTP-P)
- Please use these frameworks to explain Porter & Kramer's perspective on creating shared value, considering only the firm, its shareholders, and its buyers.
 - **ANSWER:** MP/MK: care about shareholders + stakeholders; firm value capture matters at ton (P-C) but choose investments that care drive value capture by Buyers (WTP-P)

(14) In the Carter Racing Case, we discussed the question of whether Carter Racing should or should not compete in a race. Please assume that the data in the case suggested that firm profits would likely be maximized by racing but that racing would also result in a high probability of driver injury.

- Please apply the logic of the **deontological perspective** on ethics to assess whether the firm should participate in the race:
 - **ANSWER:** Deontology is based on duty; the answer should reflect this, e.g., the duty to protect workers from harm
- Please apply the logic of the **utilitarian perspective** on ethics to assess whether the firm should participate in the race:
 - **ANSWER:** The utilitarian perspective aims to maximize utility across all populations; the answer should reflect this calculation, e.g., if the expected profits are greater than the expected financial losses and human suffering that would result from an accident (times the probability of the accident), then we should race)
- Please apply the logic of the **virtue ethics perspective** to assess whether the firm should participate in the race:
 - **ANSWER:** The virtue ethics perspective suggests that we should cultivate virtuous character traits, e.g., honesty, courage, and fairness, so answers should reflect this spirit; e.g., we should disclose the risks and potential to the drivers and enable them to choose, as this would make us honest and responsible managers)